

SUPPLY AGREEMENT

Supplier: Pacific Circuit Components Inc. (V005)

1. Parties and Term

This supply agreement is made between the Buyer and Pacific Circuit Components Inc. (the Supplier). It runs for twelve months from the effective date and renews automatically unless either party gives sixty days written notice.

2. Pricing and Price Variance

Unit prices are as stated in each purchase order. The parties agree that invoiced unit prices may vary by up to 5 percent (5%) above the purchase order price to reflect raw material cost movements. Invoices within this variance are payable in full and shall not be treated as discrepant. Variances above 5% require the Buyer's written approval before payment.

3. Delivery and Quantities

Delivered quantities must match the purchase order exactly. Partial deliveries are accepted only when agreed in writing before dispatch, and the invoice must then bill only the quantity actually received.

4. Invoicing and Payment

Invoices must quote the purchase order number. Payment terms are net 30 days from the invoice date. Late payment interest accrues at 1% per month on overdue amounts.

5. Disputes

Billing disputes must be raised within thirty days of the invoice date. The undisputed portion of an invoice remains payable on the original schedule while a dispute is open.